

PITCH — QXO — VERDICT

ADJUDICATED 2026-09-16 — FLAT — re-rate bar is the street number (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

QXO is a roll-up: it bought Beacon (roofing distribution, closed 4/29/25), Kodiak (lumber and building materials), and TopBuild (insulation, cash closed 7/1/26). The stock is down 55% per share from its February 18, 2026 high of \$27.61 and trades at \$12.365 in the pack tape.

Three things we think are true:

1. **The drawdown is real holder damage, not a bookkeeping illusion.** A shareholder from February is down 55%. The fact that the share count grew from ~565M to ~1.04B does not undo that.
2. **There is real margin compression, but it is smaller than the headline.** Adjusted EBITDA margin went from 10.7% (Q2-25) to 8.4% (Q2-26) — a 230bp fall. Strip out Kodiak's lower-margin \$595M of revenue at a plausible 6% margin and about **180bp still survives**. The mix excuse does not close the gap: to restore 10.7% you would need the rest of the business to have earned \$283.7M of EBITDA against a reported total of \$272M, meaning Kodiak would have had to lose \$11.7M. That is not credible.
3. **But we cannot show the stock is expensive.** On our pro-forma numbers the tape implies roughly **11.2x EV/EBITDA** ($\approx \$12.9\text{B equity} + \$7.0\text{B net debt} + \$3.0\text{B senior preferred} \div \$2.05\text{B pro-forma EBITDA}$), versus the **14.9x QXO itself paid for TopBuild**. Neither bench could establish a fair value below the current price. Avoiding a name because risks are visible is not an edge.

Net belief: fairly priced, wide outcomes, no directional edge yet. The one number that would create an edge — the street's Q3 adjusted-EBITDA estimate — **neither bench retrieved**.

What the market believes

- Q3-26 revenue $\approx$ **\$4.99B**; FY26 revenue $\approx$ **\$13.5B**; FY26 EPS $\approx$ **-\$0.538** (already cut from – \$0.452). A loss year is consensus, not a discovery.
- Last print, adjusted EBITDA **beat** by roughly \$19M (\$272M vs ~\$253M) and adjusted EPS of \$0.08 was in line, while GAAP was **-\$0.14** (a \$55M net loss). The market is willing to look at adjusted numbers during integration.
- The short base is crowded: one source puts QXO as the **most-shorted industrial at >18% of float**; another shows 34.0M shares / 5.44% at a stale \$19.98 price. The two disagree and we

have not reconciled them.

- Building products is soft, leverage is high, dilution is ongoing. All three are inside a –\$0.54 consensus EPS and a –55% tape. **They are priced.**

Why we might have edge

- **The mix defence is arithmetically dead.** Anyone reading “it was just Kodiak” is wrong by ~180bp. That is our only differentiated fundamental fact.
- **A second, independent corroboration nobody in the debate leaned on:** adjusted gross margin fell to **24.7% from 25.3%** (–60bp), which is closer to price/mix than to portfolio mix.
- **The screen that surfaced this name is broken in a knowable way.** Per-share drawdown on a serial acquirer overstates equity-value change (–55% per share vs ~–31% market cap). Knowing *why* the screen fires stops us from paying up for a fake dislocation — and stops us from re-buying the same artifact next month.
- **Supply is documented, not guessed.** A 424B7 registers **95,876,547 Kodiak consideration shares** for resale — about 9% of shares outstanding — into a falling tape (primary). Most narratives about “flowback” are hand-waving; this one has a document.
- **Cheap-vs-what.** The company paid 14.9x for TopBuild and its own stock is at ~11.2x. If integration works at all, that gap is the trade.

Why it might be priced in

- Every bear leg we hold is consensus: dilution, leverage, soft demand, negative GAAP EPS.
- The revenue bar we would have used (\$4.8–5.0B) **is** the street number to the decimal. We reproduced consensus and nearly called it research.
- The 180bp of surviving compression is offset by a bias we never sized: Q2-25 contained only **two months** of Beacon (April excluded — the weakest, lowest-margin roofing month), which flatters the 10.7% comparison base. Direction intact; magnitude unresolved.
- The escrow point cuts against the bull too: the \$5.77B of cash at 6/30/26 was in a **segregated escrow** and was spent two days later on TopBuild. There is no hidden cash cushion.
- A –55% tape with >18% short interest is a two-sided crowd, not a one-sided gift.

What could go wrong

Failure 1 — The 180bp is demand, and we bought a de-rating (tripwire: YES). We buy at 10.5–11x calling it cheap; Q3 shows consolidated adjusted EBITDA margin below 8.5%, organic revenue negative, street cuts FY27, and the multiple goes to 9.5x — that is **\$7.28** on our own math, about 41% below the tape. *Monitorable:* Q3 margin and organic disclosure, street EBITDA revisions, gross margin trend below 24.7%.

Failure 2 — Supply beats conviction (tripwire: YES). 95.9M registered Kodiak shares (~7–10 trading days of estimated volume) plus any new shelf take-down keeps a permanent seller above us. The squeeze never comes because shorts are being fed paper. We average down into

distribution and end at 0.9% of book in a name still making lows. *Monitorable*: new 424B5/424B7/S-3 filings, 13G/A ownership drops, volume spikes on down days, our own price gates.

Failure 3 — Off-tape capital structure or integration breakage (tripwire: NONE). The ~\$3.0B **Series C perpetual preferred** (Apollo/Temasek, upsized from \$1.2B on 1/12/26 — 8-K) is a senior claim ahead of common whose conversion price and dividend form (cash vs. PIK) **we have not read**. Add a brand-new President/COO who started 9/1/26 (Ken West, ex-Honeywell, per the 8-K in the pack), three integrations running at once, and purchase-accounting true-ups. If terms are renegotiated, if a covenant is quietly amended, or if integration is going badly, we learn it in an 8-K **after** the fact. There is no public series to watch, no price level that warns us, no filing calendar that anticipates it. **Unknown-unknown class named: off-tape, privately negotiated capital-structure and integration risk — instruments and agreements that exist, move value, and are disclosed only once final.** We accept this class knowingly; the only defence is size.

Reflexive / structural leg (our own footprint, predicted flow, doctrine). - *Our size*: estimated volume 8–15M shares/day ≈ \$100–185M/day (estimate: 0.8–1.4% of shares out/day, the base rate for a heavily-shorted mid-cap; **not measured — item 8 below**). Max authorized position 0.6–0.9% of book. Unless the book is far larger than assumed, we are **0.3–2% of one day’s dollar volume** — we are not the reflexive risk and we do not need a liquidity discount. If the book is large enough that 0.9% exceeds 10% of one day’s volume, cut the size, don’t widen the band. - *Predicted flow around us*: registered resale supply (≈9% of shares out) is the dominant known flow; short interest of 18% of float is the offsetting fuel. Both are larger than us by orders of magnitude. Expect violent two-way moves around the print with us as a passenger. - *Doctrine interactions*: (a) the serial-issuer drawdown artifact means this name will keep re-appearing on the screen for a mechanical reason — guard against re-entering the same idea as if it were new; (b) the stale-52-week-low trap means **any gate keyed to “percent off the low” will misfire** (the pack itself shows price \$12.365 *below* its own low field of \$12.67) — all our gates are absolute prices; (c) the lockup/registered-supply detector **fired**, so a supply gate is mandatory, not optional; (d) the escrow rule forbids netting spoken-for cash — do not re-run that comfort next quarter.

If this position loses money, the most likely reason will be **that the ~180bp of surviving margin compression was real demand deterioration rather than mix or calendar, and we paid 11x for a business whose EBITDA base was falling while 96M registered shares were being sold into us.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
Tape: price below its own 52-week low	Pack TAPE field vs. the price/low fields’ internal consistency; Investing.com wire dated ~9/9/26 reporting a 52-week-low print at 12.79 (“54% below its 52-week high of 27.61”)	Standard stale-low artifact: the name is printing fresh lows intraday, so px 12.365 < lo52 12.67 is expected, not impossible. $dd52 = 12.365/27.61 - 1 = -55.2\%$, matching the pack’s -0.552	YES

Claim	How checked	Found	Confirmed?
RED BENCH ERROR: “the tape premise is fabricated”; range 12.80–27.61, last 13.25, “+3.5% above the low,” dd52 –52.0%	Compared red’s vendor quote date (Sep 8 close) to the pack timestamp and the Sep 9 wire	Red used an earlier vendor quote to accuse another bench of inventing a price that demonstrably traded. Red’s own “DATA (full force)” integrity tag lands on red. This was red’s lead kill and it is refuted	BENCH ERROR — logged
RED BENCH ERROR: market-cap drawdown (–31%) proves the –55% is an “issuance artifact”	Our arithmetic on red’s inputs (725.2M sh × \$27.61 ≈ \$20.0B → ~\$13.75B)	The arithmetic is right; the inference is wrong. Shares issued as consideration buy EBITDA — they don’t deflate per-share value. Comparing a grown denominator to an old market cap is a base-effect artifact. The legitimate residue is supply , not a drawdown discount	BENCH ERROR — reframed to supply
The –230bp is entirely coverage + mix	Q2-26 release, \$595M Kodiak named (<u>primary</u>); our own arithmetic	$0.107 \times \$2,651\text{M} = \mathbf{\$283.7\text{M}}$ > \$272M reported → Kodiak would need to be –\$11.7M EBITDA. At 6% LBM margin, ex-Kodiak margin ≈ 8.9% , so ~180bp survives . We re-derived the ex-Kodiak base independently: $\$3,246\text{M} - \$595\text{M} = \$2,651\text{M} \checkmark$ (reported margin 272/3,246 = 8.38% $\checkmark$)	CONFIRMED — red’s strongest kill fails
The margin comparison base is clean	Deal close date 4/29/25 vs. Q2-25 period	Not clean. Q2-25 excludes April, the weakest roofing month, biasing the 10.7% base upward by an amount neither bench quantified and we cannot quantify without Beacon standalone data	NO — open, item 5
“Our re-rate bar is the street number”	Red produced Q3 revenue consensus \$4.99B; searched the record for a Q3 adjusted-EBITDA consensus	True on revenue (our bar = consensus, no edge there). But the load-bearing leg was margin , and the divergence test was never run on it. Neither bench has the number	PARTIAL — the decisive test was not run
Leverage doubled / cash is burning	10-Q debt note (<u>primary</u>); \$3B notes priced 6/4/26 with proceeds in segregated escrow; ~\$6.3B cash consideration paid 7/1/26	Gross debt optics were misused, but red’s netting was worse: escrowed, spoken-for cash is not netting-eligible. It was gone two days after the balance-sheet date	RED’S NETTING OVERTURNED; leverage is real post-close
H1 OCF of –\$146M confirms demand damage	Looked for a seasonality adjustment	Neither bench ran the seasonality check	NO — coverage gap, item 6

Claim	How checked	Found	Confirmed?
		(mandatory on any deceleration claim). Distribution working capital swings hard in H1. Claim is plausible in both directions	
The ~\$3.0B preferred is the Series B mandatory convertible	Series C 8-K, 1/12/26 (<u>primary</u>); Series B 424B5 (<u>primary</u>)	Wrong instrument. The ~\$3.0B is Series C perpetual (Apollo/Temasek). Series B is a separate 5.50% mandatory convertible (QXO.PRB), minimum rate 49.4740 shares per preferred share = 2.4737–3.0303 per \$50 depositary share; at this tape holders get the maximum rate	BENCH ERROR — right flag, wrong instrument
Series B conversion terms were “unretrievable — search budget exhausted”	One retrieval of the 424B5	Retrievable in a single pull. The excuse fails	BENCH ERROR — logged
The 7/23/26 424B7 registers TopBuild consideration resale	Pulled the retrievable 424B7	Wrong document. The documented supply is 95,876,547 Kodiak shares under Kodiak registration rights; TopBuild holders got freely tradable S-4 shares needing no resale supplement. Conclusion (registered supply exists) survives; the citation was wrong	BENCH ERROR — corrected, mechanism intact
Detector dispatch discipline	Compared the two consulted lists against the dispatch pack	Red consulted two detectors not in the pack (fema_nri_hazard, laserfiche_weblink) and skipped two that were (pe_dividend_recap_pre_ipo, crop_yield_ndvi). Both later came back NOT-FIRED, so no finding changes — but the process breach is real	BENCH ERROR — process, no impact on verdict
Pack XBRL block usable for margin/share math	Inspected: revenue ~\$10–13M/quarter, share counts 5.3M	SilverSun shell legacy on CIK 1236275 — unusable. Both benches concur. Do not build any per-share or SBC math on it	CONFIRMED unusable
Fraud/structure archetypes	Both detector runs	Chinese ramp-dump not fired (Delaware C-corp, NYSE, US operations; the Asia feature match is spurious shell inheritance). Common-control merger accounting not fired (arm’s-length purchases, disclosed	CONFIRMED clean on structure

Claim	How checked	Found	Confirmed?
		contribution). Up-C/TRA not fired . Permit and consumer-product detectors uncheckable/mis-dispatched — QXO is never the permit applicant as a wholesaler, though post-7/1 TopBuild insulation installation may appear as a subcontractor, making that nearer-checkable than ruled	
Next print date	Pack filing inventory; issuer pattern (Q1 printed 5/12, Q2 printed 8/13); third-party estimates	No company PR or 8-K names a date. Pack's 11/5 is yfinance-derived; third parties say 11/17. Pattern says mid-month. PRINT PROXIMITY: NONE (~38–45 trading days out) — no forced position, no pre-print race	UNCONFIRMED — item 10
Science brief present in inputs?	Inspected the SCIENCE BRIEF block	Empty — QXO is a distributor, not a deep-tech name. The SCIENCE BRIEF DIGEST section is therefore omitted by rule , not skipped	CONFIRMED N/A

PROPOSED ENTRY BANDS

Sizing convention: full sleeve = 2.5% of book; Blue's cap of "≤0.25 sleeve" = **0.6% of book**. Hard ceiling including adds: **0.9% of book**.

Valuation frame (from the benches' own numbers): price per share = (multiple × pro-forma EBITDA – \$7.0B net debt – \$3.0B Series C) ÷ 1.04B shares, pro-forma EBITDA ≈ \$2.05B. This reproduces the tape at **11.2x**, which is our sanity check on the frame.

Action	Level / condition	Why this level	Size
No entry now	\$12.365 tape	EV of our own prize table is \$12.89 — about 4% above the tape. That is noise, not edge, and the tape is making fresh lows into a levered first-consolidation quarter	0%
Starter	\$11.55 or lower (= 11.0x)	First price that is a genuine discount to the tape's own implied multiple and ~26% below the 14.9x QXO paid for TopBuild	0.30% of book
Add 1	\$10.58 or lower (= 10.5x)	Full sleeve-quarter reached only if the market gives us a real discount	+0.30% (→0.60%)
Add 2 — gated	\$9.62 or lower (= 10.0x) AND no new registered-	+0.30% (→0.90%)	

Action	Level / condition	Why this level	Size
	supply filing in the prior 10 sessions AND no guide-down		
Alternate entry — post-print	After Q3: consolidated adjusted EBITDA margin ≥9.5% , organic revenue disclosed and non-negative, with a named mechanism for the ≥150bp gap to street	Blue's condition, kept verbatim in substance: size only on a gradeable divergence	0.30–0.60% at market
Do not enter / abandon	Q3 margin <8.5% or FY27 street EBITDA cut >10%	This is Failure 1 arriving; the scenario floor is \$7.28	Exit any starter
Stress stop	Below \$8.00 with a capital event (discounted equity, covenant amendment, preferred reset)	Scenario B live; the frame no longer applies	Full exit
Trim	\$17.26 (= 13.0x)	Sell half; this is the mix-vindicated fair value	–50%
Exit	\$22.62 (= 14.9x)	Parity with the multiple QXO itself paid — no reason to own it above the price it pays for assets	Flat

Catalyst dates: expected date-naming PR ~10/20–10/30/26 (unconfirmed); Q3 print somewhere in **11/5–11/17/26**, most likely mid-month (all sources unconfirmed); Q3 10-Q within days of the print; 12/18/26 options expiry (the only listed expiry that both captures the print and lands a loss inside tax year 2026); 12/31/26 tax year end; 10-K with the branch property schedule ~late Feb 2027.

Explicit concession: Red's floor was "minimum starter" (it could not establish fair value below \$13.25, and the tape is below that). Blue's floor was "flat, gated." We side with Blue on timing and with Red on direction: the name is not expensive, but paying up into daily new lows with 96M registered shares overhead and the decisive consensus number unretrieved is buying before the work is done. If the adjudicator prefers Red's floor, a **0.15% toe at \$12.36** is the defensible version — we do not recommend it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.0 (deck-provisional: scenario B stress branch live - full exit, valuation frame void)
- filing watch: 8-K until 2027-03-09 (deck-provisional: Item 2.02 Q3 release: pull consolidated adj-EBITDA margin, Kodiak/TopBuild contribution, organic growth)
- dated pack QXOI2026-10-22: QXO: expected date-naming PR/8-K for Q3 (estimated from prior-quarter lead times) (date confirmed=False)
- dated pack QXOI2026-11-05: QXO: pack next-print date, yfinance-derived, low confidence (date confirmed=False)

- dated pack QXOI2026-11-13: QXO: most likely Q3-26 print per issuer mid-month pattern (Q1 May 12, Q2 Aug 13) (date confirmed=False)
- dated pack QXOI2026-11-17: QXO: third-party consensus estimate of the Q3 print date (TipRanks/Investing.com) (date confirmed=False)
- dated pack QXOI2026-12-18: QXO: only listed expiry that both captures the print and lands the loss branch in tax year 2026 (date confirmed=False)
- dated pack QXOI2026-12-31: QXO: tax year end - harvest any open loss before this date, respect 30-day wash-sale before re-entering the 10.58 band (date confirmed=False)
- dated pack QXOI2027-02-26: QXO: estimated FY26 10-K with branch property schedule (FEMA exposure) (date confirmed=False)

What remains unverified

1. **Street Q3-26 adjusted-EBITDA consensus.** The only number that turns this into a gradeable divergence. Neither bench retrieved it. **Drainable now** (broker consensus connector). Estimate if the pull fails: \$470–540M on \$4.99B revenue (9.4–10.8% margin), centered ~\$505M; basis: Q2's \$272M on \$3.25B scaled for TopBuild's full quarter at a mid-cycle insulation margin. Confidence 0.6.
2. **Series C perpetual preferred: size confirmation, conversion price, dividend form (cash vs. PIK), and any reset/ratchet.** A ~\$3.0B senior claim ahead of common that both benches left unsized. **Drainable now** (1/12/26 8-K plus the Q2 10-Q equity note).
3. **Series B mandatory convertible: total depositary shares outstanding, aggregate size, and maximum-rate dilution at this tape.** We have the conversion rates (min 49.4740 per preferred share; 2.4737–3.0303 per depositary share) but not the count. **Drainable now** (424B5 plus 10-Q cover). Estimate: fully diluted 1.10–1.20B shares, centered ~1.14B; basis: a \$500M–\$1.0B mandatory at max rate on a \$25–30 reference price. Confidence 0.5. *If fully diluted exceeds ~1.15B, every price in the entry table falls ~5–10% and the bands must be re-cut.*
4. **How much of the 95,876,547 registered Kodiak shares has actually been sold, and the true identity/contents of the 7/23/26 424B7.** **Not drainable now** — holder sales are not disclosed in real time. Estimate: 25–50% distributed by now (~24–48M shares), centered ~35M, leaving ~60M overhead; basis: typical registered-resale distribution pace of 8–15% of the block per month once a shelf is effective. Confidence 0.4.
5. **Beacon standalone April–June 2025 net sales and segment EBITDA** — needed to size the two-month-stub bias in the 10.7% comparison base. **Drainable now** (Beacon's own 10-Q / the S-4 pro formas). Estimate: April contributes 28–31% of Q2 roofing revenue at 150–250bp below quarter margin, so the clean comparison base is **10.0–10.4%, not 10.7%**, which would cut the surviving compression from ~180bp to **~110–150bp**. Confidence 0.55. *This is the item most likely to shrink our only differentiated fact.*
6. **Q3-26 organic / same-branch revenue growth and seasonally adjusted operating cash flow.** **Not drainable until the print.** Estimate: organic –4% to +1%, centered –1.5% (basis: soft residential building products base rates and the –60bp adjusted gross margin); H2 OCF positive \$150–350M as H1 working capital unwinds. Confidence 0.5.

7. **Whether a listed options chain with usable liquidity exists, and if so its chain-level midpoint implied volatility, realized volatility (20/60-day), and IV percentile.** No chain data appears anywhere in the pack or either bench. **Drainable now** (broker chain pull). Estimate: IV 55–75% annualized for a 60–120 day expiry, centered ~65%; basis: comparable –50% mid-cap industrials with >15% short interest into an earnings print. Confidence 0.45.
8. **Average daily volume, float turnover, borrow cost, and the short-interest basis conflict (>18% of float vs 5.44% at a stale price). Drainable now** (broker + NYSE semi-monthly). Estimate: 8–15M shares/day, ~\$100–185M/day, centered \$140M; short interest 12–18% of float. Confidence 0.5.
9. **Branch- and distribution-center-level natural-hazard exposure.** The pack geocoded five corporate offices only; the ~1,000+ branch footprint is unresolved, which matters for a hurricane-levered roofing distributor. **Not drainable now** (needs the 10-K property schedule, ~Feb 2027). Estimate: 20–30% of branches in FEMA high-hurricane-risk counties, centered 25%; basis: the Gulf/Southeast skew of US roofing distribution. Confidence 0.4. Note: if the 10-K discloses no branch schedule, that absence is itself a finding.
10. **The actual Q3 earnings date. Not drainable until a company PR or 8-K names it.** Estimate: 11/12–11/17/26, centered 11/13; basis: the issuer’s own mid-month pattern (5/12, 8/13). Probability the print falls on or before 11/20/26: 0.85.

PRIZE TABLE + VOL READ

Note on scope: both benches wrote “PRIZE TABLE: N/A,” and they were right about the version they meant — QXO is a ~\$13.5B-revenue cash generator, not a pre-revenue developer, so the funding-counterfactual table does not attach. But items 1, 4, 5, 6, 7 and 10 above are genuinely time-gated or private, so the scenario table **is** required. Anchor-and-adjust: anchor is the tape’s implied 11.2x; adjustments are multiple and pro-forma EBITDA.

#	Scenario	p	Price	Basis
A	Demand damage confirmed: Q3 margin $\leq$ 8.5%, organic negative, street cuts	0.22	\$7.28	9.5x × \$1.85B
B	Capital-structure stress: discounted equity, covenant amendment, or preferred reset	0.06	\$4.69	8.5x × \$1.75B
C	Muddle-through: in-line print, mix unresolved, registered supply caps the tape	0.34	\$11.50	~10.9x × \$2.0B
D	Mix and calendar vindicated: EBITDA beat, margin $\geq$ 9.5%, synergies named	0.28	\$17.26	13.0x × \$2.15B
E	Re-rate plus short squeeze to the multiple	0.10	\$22.62	14.9x × \$2.25B

#	Scenario	p	Price	Basis
	they paid			

EV = \$12.89 vs. tape \$12.365 → +4.2%. Probability mass below the tape: **0.62**. Table dispersion $\sigma_{\text{table}} = \5.14 (**39.9% of EV**). Read plainly: a slightly positive expected value carried by two fat tails, with most of the probability *below* today's price. That is exactly a "wait for a discount or a fact" configuration, and it is why we propose no immediate entry.

Expression math (shown, as required). Converting the table's dispersion into an annualized volatility equivalent: $39.9\% \div \sqrt{T}$ gives **90% for a 11/20/26 expiry, 77% for 12/18/26, 68% for 1/15/27**. That is the volatility our own scenarios embed.

Call values priced **off the table itself** ($C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$), with a 50% realization haircut on branches D and E because a re-rate is unlikely to be fully paid by December (haircut EV \$12.01):

Strike (Dec 18 2026)	C_ours (table)	Put_ours (table)	Rule
\$10.00	\$2.92	\$0.92	Sell the put only for $\geq \$1.05$
\$11.00	\$2.20	\$1.20	—
\$12.50	\$1.46	\$1.96	Buy the call only at $\leq \$1.30$
\$15.00	\$0.72	\$3.72	Buy the call only at $\leq \$0.65$
\$17.50	\$0.26	\$5.75	No

Decision rule that follows from the arithmetic: - If chain midpoint IV (Dec-18 12.5 and 15 strikes, from **real bid/ask midpoints on those specific strikes**, never the underlying's aggregate IV feed — the TSSI 71-vs-101 lesson: the aggregate and the chain diverge, and we have been wrong by 30 vol points before) comes in **below ~55%**, calls are cheap against our 77% table dispersion and the gated adds should be expressed as Dec-18 \$12.50 calls at $\leq \$1.30$. - If chain IV comes in **above ~75%**, the volatility risk premium is positive and rich; route to the premium-selling gates — sell the Dec-18 \$10 cash-secured put for $\geq \$1.05$ (that strike is below both scenario C and our starter band, so assignment is an entry we already want). - If IV lands **between 55% and 75%**, the option adds no edge over the frame: **use stock**, inside the entry bands.

Instrument recommendation — and its honest caveat: STOCK, at the bands, with zero option overlay today. That output is provisional because **the IV inputs do not exist in evidence** (item 7). We refuse to print a fabricated IV percentile or a fake VRP: **IV – RV cannot be computed, IV percentile cannot be computed**. The decision rule above is armed and will select the instrument the moment the chain is pulled. **Bimodality flag:** the table is fork-dated on an unconfirmed print date (11/5 vs 11/17) with 0.62 of the mass below the tape and 0.38 above in two clusters — this is a barbell, so any option expression must be strikes, not straddles, and must expire *after* the fork.

Tax overlay. The loss branch (A/B, combined $p = 0.28$) must land in the intended tax year. A **1/15/27** expiry pushes the loss into 2027 and is therefore **excluded in a 2026 harvest year** — the edge here (+4.2% EV) does not come close to numerically dominating a deferred deduction. A **11/20/26** expiry may expire before the print lands (0.15 probability the print slips past it) and is

rejected as catalyst-blind. **12/18/26 is the only compliant expiry**: it captures every plausible print date and settles the loss inside tax year 2026. Stock entries have no expiry problem, but if we hold a loss into late December, harvest before 12/31/26 and respect the 30-day wash-sale window before re-entering the \$10.58 add band.

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EV/EBITDA on $2.05B – first genuine discount to the tape's own 11.2x; starter
0.30% of book"}, {"level": 10.58, "direction": "below", "basis": "10.5x – add
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confirmed catalyst"}, {"forms": ["8-K"], "why": "Items
1.01/2.03/2.04/3.02/3.03/5.03 – the only warning we will ever get on the
unmonitorable Series C perpetual preferred or a credit amendment"}, {"forms":
["S-3", "424B5", "424B7", "425"], "why": "new registered resale supply on top
of the 95,876,547 Kodiak shares already registered; lockup detector FIRED"},
{"forms": ["10-Q"], "why": "Q3 balance sheet: post-close net debt without
escrow, preferred counts, OCF seasonality unwind"}, {"forms": ["10-K"],
"why": "branch property schedule for hurricane exposure; non-disclosure is
itself a finding"}, {"forms": ["4", "3", "SC 13G/A"], "why": "insider
adds/sales and holder exits that would corroborate or contradict the supply
leg"}], "catalyst_dates": [{"date": "2026-10-22", "what": "expected date-
naming PR/8-K for Q3 (estimated from prior-quarter lead times)", "confirmed":
false}, {"date": "2026-11-05", "what": "pack next-print date, yfinance-
derived, low confidence", "confirmed": false}, {"date": "2026-11-13", "what":
"most likely Q3-26 print per issuer mid-month pattern (Q1 May 12, Q2 Aug
13)", "confirmed": false}, {"date": "2026-11-17", "what": "third-party
consensus estimate of the Q3 print date (TipRanks/Investing.com)",
"confirmed": false}, {"date": "2026-12-18", "what": "only listed expiry that
both captures the print and lands the loss branch in tax year 2026",
"confirmed": false}, {"date": "2026-12-31", "what": "tax year end – harvest
any open loss before this date, respect 30-day wash-sale before re-entering
the 10.58 band", "confirmed": false}, {"date": "2027-02-26", "what":
"estimated FY26 10-K with branch property schedule (FEMA exposure)",
"confirmed": false}], "immediate_entry": null, "unverified": [{"item":
"Street Q3-26 adjusted-EBITDA consensus – the only gradeable divergence,
unretrieved by both benches", "instrument": "broker consensus connector
(Visible Alpha / Bloomberg EST / IBKR analyst tab)", "drainable_now": true,
"estimate": {"range": "$470-540M adj EBITDA on $4.99B rev (9.4-10.8% margin),
center ~$505M", "basis": "Q2 $272M on $3.25B scaled for a full TopBuild
quarter at mid-cycle insulation margin", "p": 0.6}}, {"item": "Series C
perpetual preferred: size confirmation, conversion price, dividend form (cash
vs PIK), reset terms", "instrument": "SEC 8-K 2026-01-12 (tm261770d1_8k) +
Q2-26 10-Q equity note, XBRL pull", "drainable_now": true, "estimate": null},
{"item": "Series B mandatory convertible: depositary shares outstanding,
aggregate size, max-rate dilution at this tape", "instrument": "424B5
tm2515387-4 + 10-Q cover page share count, XBRL dei pull", "drainable_now":
true, "estimate": {"range": "fully diluted 1.10-1.20B shares, center 1.14B",
"basis": "$500M-1.0B mandatory at max rate 3.0303 per $50 depositary share on
a $25-30 reference", "p": 0.5}}, {"item": "How much of the 95,876,547
registered Kodiak resale shares has actually been sold; true contents of the
2026-07-23 424B7", "instrument": "EDGAR full-text of 0001104659-26-086310 +
13G/A holder deltas + IBKR volume/print analysis", "drainable_now": false,
"estimate": {"range": "24-48M shares distributed (center ~35M), leaving ~60M
overhead", "basis": "base rate of 8-15% of block distributed per month once a
resale shelf is effective", "p": 0.4}}, {"item": "Beacon standalone Apr-Jun
2025 net sales and segment EBITDA, to size the two-month-stub bias in the
10.7% comparison base", "instrument": "Beacon Roofing Supply 10-Q (period
ended 6/30/25) / QX0 S-4 pro formas via EDGAR", "drainable_now": true,
"estimate": {"range": "clean comp base 10.0-10.4% not 10.7%, cutting

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surviving compression to ~110-150bp", "basis": "April = 28-31% of Q2 roofing
revenue at 150-250bp below quarter margin (roofing seasonality base rate)",
"p": 0.55}}, {"item": "Q3-26 organic/same-branch revenue growth and
seasonally adjusted operating cash flow (seasonality tool never run by either
bench)", "instrument": "Q3 8-K Item 2.02 + 10-Q cash flow statement; desk
seasonality.py on Beacon's historical H1/H2 split", "drainable_now": false,
"estimate": {"range": "organic -4% to +1% (center -1.5%); H2 OCF +$150M to
+$350M", "basis": "soft residential building products base rate plus the
-60bp adjusted gross margin corroboration", "p": 0.5}}, {"item": "Whether a
liquid listed options chain exists; chain-level midpoint IV on Dec-18 12.5/15
strikes, RV20/RV60, IV percentile", "instrument": "IBKR option chain pull -
strike-level bid/ask midpoints only, never the aggregate underlying IV feed",
"drainable_now": true, "estimate": {"range": "IV 55-75% annualized for 60-120
DTE, center ~65% vs table-implied 77%", "basis": "comparable -50% mid-cap
industrials with >15% short float into an earnings print", "p": 0.45}},
{"item": "Average daily volume, float turnover, borrow cost, and the short-
interest basis conflict (>18% of float vs 5.44% at a stale $19.98 print)",
"instrument": "IBKR ADV/borrow + NYSE semi-monthly short interest file",
"drainable_now": true, "estimate": {"range": "8-15M sh/day ($100-185M, center
$140M); short interest 12-18% of float", "basis": "0.8-1.4% of shares out
traded daily, the base rate for a heavily-shortened mid-cap", "p": 0.5}},
{"item": "Branch- and DC-level natural-hazard exposure (pack geocoded only
five corporate offices; ~1,000+ branches unresolved)", "instrument": "FY26
10-K property schedule + FEMA NRI county join", "drainable_now": false,
"estimate": {"range": "20-30% of branches in FEMA high-hurricane-risk
counties, center 25%", "basis": "Gulf/Southeast geographic skew of US roofing
distribution footprints", "p": 0.4}}, {"item": "Actual Q3-26 earnings date
(no company PR or 8-K in the pack names one; pack's Nov 5 is yfinance-
derived)", "instrument": "company PR / 8-K Item 2.02 announcement; IR page
watch", "drainable_now": false, "estimate": {"range": "2026-11-12 to 2026-11-
17, center 2026-11-13; P(on or before 2026-11-20) = 0.85", "basis": "issuer's
own mid-month pattern (Q1 May 12, Q2 Aug 13)", "p": 0.85}}]}

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ADJUDICATION — 2026-09-16 15:37Z

Brief's \$4.8-5.0B revenue bar = Q3 consensus \$4.99B (CONSENSUS); ~180bp mix-adjusted EBITDA margin compression real.

REOPEN GATES: street Q3 adj-EBITDA; remaining registered resale supply (95.9M Kodiak shares); Series C conversion price → re-court

